

Share Vesting Agreement - Discussion Issues

Developer Review Checklist - Yisak Tamiru Wurgessa & Fuad Hyredin Ahmedin

Purpose: Use this checklist during discussion with the Company before signing the Share Vesting Agreement. Each item identifies a point that should be clarified, negotiated, or documented more precisely.

A. Equity & Vesting

1. **Vesting:** Clearly define exactly when each part of our 2% becomes permanently earned.
2. **Milestones:** Define exactly what Premium, Platinum, Unified, and Legacy must include before signing.
3. **4-year vesting:** Clarify why milestone-based equity also requires staying for 48 months and exactly how the two vesting systems work together.
4. **12-month cliff:** Clarify whether we earn zero equity during the first 12 months, even if we complete one or more product milestones before then.
5. **Early completion:** If we complete all four tiers before four years, clarify whether we receive the full 2% each immediately or still have to wait.
6. **Leaving after the cliff:** Clearly state how much equity is vested after 12, 24, 36, and 48 months.
7. **Conflict between time and milestones:** Remove any ambiguity about whether vesting requires both time served and milestone completion, or only one of them.
8. **CEO approval:** Milestone completion should not depend only on the CEO's personal approval.
9. **Vested shares:** Once equity is vested, it should not be taken away or converted after we leave.
10. **Dilution:** Clarify how future share issuance can reduce our 2% ownership.

B. Revenue & Financial Transparency

11. **Revenue definition:** Clearly define what expenses can be deducted before calculating our 2% revenue share each.
12. **Revenue transparency:** We should receive monthly financial statements showing how our revenue share was calculated.
13. **Audit rights:** We should have the right to verify revenue and deductions.

C. Termination, Liability & Compensation

14. **Termination:** Being terminated without serious misconduct should not erase benefits we already earned.
15. **Good leaver / bad leaver:** Normal resignation or termination should be treated differently from fraud or serious misconduct.
16. **Immediate termination:** Ordinary mistakes should have a warning and cure period before termination.
17. **Liability:** Our personal financial liability should be limited and not cover unlimited or speculative losses.
18. **30,000 ETB:** Clarify why money already owed to us is being cancelled instead of paid.
19. **Salary:** Clearly state whether the 40-hour-per-week commitment includes a salary in addition to equity and revenue share.
20. **Employment status:** Clearly define whether we are employees, contractors, advisors, or shareholders.

21. Emergency support: Define what 'respond within 24 hours' means and avoid guaranteeing resolution within 24 hours.

D. Delivery, Scope & Restrictions

22. Company-caused delays: We should not lose vesting because management, funding, third parties, or regulation delayed the project.

23. Scope changes: New features added later should require written agreement and adjusted deadlines.

24. Non-compete: Narrow the one-year restriction so it does not block us from generally working as software developers.

25. Company sale: Define what happens to unvested equity if Fetan or the company is sold.

26. Project cancellation: Protect us if the company itself cancels one of the remaining product tiers.

E. Ownership, Corporate Structure & Legal Terms

27. Share registration: Make sure our vested shares are legally registered, not just promised in the contract.

28. One Member PLC issue: Confirm how adding us as shareholders works legally while the company is currently registered as a One Member PLC.

29. Old Fetan Classic deal: Make sure the fully paid 180,000 ETB agreement stays completely closed.

30. IP: Clearly separate company-owned Fetan code from our general skills, knowledge, tools, and reusable non-Fetan code.

31. Disputes: Clearly define how arbitration works, who selects the arbitrator, and who pays the costs.

Priority topics for the meeting: vesting mechanics (including the 4-year schedule and 12-month cliff), vested-share protection, milestone definition and approval, revenue calculation and verification, termination protection, salary/working status, liability, dilution, and legal registration of the shares.